



Our ref: IM-72639

12 July 2024

Land of the Ngunnawal people
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Dear Interested Party,

Re: ACCC seeking your views: Optus and TPG's proposed network and spectrum sharing in regional Australia

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed network and spectrum sharing arrangement in regional Australia by Optus Mobile Pty Ltd (**Optus**) and TPG Telecom Limited (**TPG**) (the **Parties**).

The Parties have entered into three interrelated agreements in respect of a Multi-Operator Core Network (**MOCN**) commercial arrangement: a MOCN Services Agreement, a Spectrum Authorisation Agreement and a Site Transfer Agreement (the **Proposed Arrangement**) (see **Attachment A** for further detail). The MOCN Services Agreement is for a period of 11 years, with a five-year option for TPG to extend the term.

The legal test the ACCC applies when assessing mergers and acquisitions is in section 50 of the *Competition and Consumer Act 2010* (Cth) (the **CCA**). Section 50 prohibits acquisitions that would have or are likely to have the effect of substantially lessening competition in a market.

The Parties have sought clearance by the ACCC of two acquisitions that are integral to the Proposed Arrangement:

- a) an authorisation by TPG for Optus to use certain TPG spectrum in defined regional areas in the 700 MHz, 1800 MHz, 3600 MHz and 3700 MHz bands, which is deemed by s 68A of the *Radiocommunications Act 1992* (Cth) to be an acquisition for the purposes of s 50 of the CCA, and
- b) the transfer to Optus by TPG of certain leases and / or licences over, and equipment attached to, a number of regional mobile network sites, in the defined regional areas to be used for the MOCN

(together, the **Proposed Acquisitions**).

In considering the Proposed Arrangement, the ACCC will focus on the likely effects on competition of the Proposed Acquisitions but will have regard to all aspects of the Proposed Arrangement that affect that analysis.

The ACCC is seeking submissions on:

1. how mobile service providers currently compete in the mobile services market and other relevant markets, including whether they seek to differentiate on price, network coverage and quality, product and service offerings and inclusions, and whether the Proposed Arrangement will impact on this competition;
2. the likely impact of the Proposed Arrangement on price competition for mobile services;
3. the likely impact of the Proposed Arrangement on non-price aspects of competition, including network coverage, speed, network capacity, customer service, types of product and service offerings, bundling options, and contracts;
4. how closely Optus and TPG currently compete, or would be likely to compete in the future, absent the Proposed Arrangement;
5. the likelihood of other competitors expanding their network coverage and quality to compete with the services provided by Optus and TPG under the Proposed Arrangement; and
6. any other competition issues relevant to the ACCC's consideration of the Proposed Arrangement.

How to share your views

Please provide your response by **4pm, 26 July 2024** via email to mergers@accc.gov.au with the title: *[your company name]: Submission re: Optus and TPG's proposed network and spectrum sharing arrangement*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

This matter is public and you can forward this letter to anybody who may be interested.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality

Yours sincerely



Aggie Marek
Acting General Manager
Merger Investigations

Attachment A

Optus

Optus Mobile Pty Ltd (**Optus**) is Australia's second-largest mobile network operator (**MNO**). Optus is not listed in Australia. Optus has the second-largest number of mobile subscribers, and its network covers 98.5% of the population. The Proposed Arrangement covers 81.6% to 98.4% of the population (the **Coverage Area**), where Optus operates around 2,500 mobile base stations.

TPG

TPG Telecom Limited (**TPG**) is Australia's third-largest MNO by number of subscribers. TPG became the third-largest MNO following the merger of TPG and Vodafone Hutchison Australia in 2020. Several brands fall under TPG in Australia, which include Vodafone, TPG, iiNet, Lebara and felix.

TPG operates more than 5,600 mobile base stations nationally, and currently operates 755 mobile base stations in the Coverage Area. TPG's current network covers around 95.4% of the population and is extended under a roaming agreement with Optus.

The Proposed Arrangement

On 29 April 2024, TPG and Optus announced a new agreement for a MOCN agreement, whereby Optus will provide TPG Telecom with access to its regional radio access network and they will share certain spectrum in regional Australia. Under the agreements, which are further described below, Optus and TPG will operate their own core networks and will also continue to operate their own 4G and 5G Radio Access Networks (RANs) in metropolitan areas:

MOCN Services Agreement

- Pursuant to the MOCN Services Agreement, Optus will share its Radio Access Network with TPG and supply 4G and 5G services in exchange for service charges. The agreement is for 11 years, with one option for TPG to extend the agreement by a further five years.
- TPG will gain access to the coverage provided by around 2,444 Optus mobile sites, improving its depth of coverage in regional Australia and increasing its coverage in the Coverage Area from around 400,000 km² (95.4% of the population) to around 1,000,000km² (98.4% of the population).
- The MOCN Services Agreement will cover voice, data, SMS, fixed wireless, Narrowband Internet of Things for consumer and enterprise customers, and NBN wireless backup services. TPG will have the ability to resupply the MOCN services to its retail and wholesale customers, and once implemented, TPG's retail and wholesale customers will use Optus' 4G and 5G regional network.
- Under the Proposed Arrangement, Optus will not be allowed to delay TPG's access to 5G sites on the MOCN Network.

Spectrum Authorisation Agreement

- Pursuant to the Spectrum Authorisation Agreement, TPG will authorise Optus to use parts of the spectrum it holds licences for in 700MHz, 1800MHz, 3600MHz and 3700Mhz bands in the Coverage Area in exchange for authorisation fees.

- This spectrum will be pooled with Optus's spectrum and made available to both parties in the Coverage Area, pursuant to the MOCN Services Agreement.
- The Spectrum Authorisation Agreement does not authorise Optus to use all TPG spectrum within the Coverage Area. TPG will retain certain spectrum bands within the Coverage Area, as well as the right to use this spectrum beyond the Coverage Area.
- The Spectrum Authorisation Agreement is deemed by s 68A of the *Radiocommunications Act 1992* (Cth) to be an acquisition for the purposes of s 50 of the *Competition and Consumer Act 2020* (Cth).

Site Transfer Agreement

- Pursuant to the Site Transfer Agreement, TPG will transfer a number of TPG mobile sites inside the Coverage Area to Optus. The number of sites remains subject to due diligence, however an initial list of 129 TPG sites have been identified for transfer. TPG intends to decommission its remaining sites in the Coverage Area.
- TPG will transfer Optus, or Optus will enter into, the relevant leases and/or licence rights for each identified TPG site. TPG will retain rights to seek re-occupancy of these sites on expiry or termination of the MOCN Services Agreement.

Background – Telstra and TPG's application for merger authorisation

On 23 May 2022, Telstra Corporation Limited (**Telstra**) and TPG (together, the **Applicants**) applied for merger authorisation for the sharing of spectrum and active network infrastructure in certain regional and urban fringe areas of Australia (the **Telstra/TPG proposed transaction**)

The Telstra/TPG proposed transaction was similar in nature to the Proposed Arrangement.

Broadly, the Telstra/TPG proposed transaction involved TPG authorising Telstra to use spectrum held by TPG, and Telstra providing TPG with active mobile network infrastructure services in an area which approximately 17% of Australian's reside (the Regional Coverage Zone). TPG intended to transfer up to 169 of its existing mobile sites to Telstra and decommission the remainder. The agreements underpinning this deal had a possible duration of 20 years.

On 21 December 2022 the ACCC released a determination deciding not to grant authorisation for the Telstra/TPG proposed transaction. A copy of the ACCC's Reasons for determination is available on the ACCC's merger authorisation public register [here](#).

On 23 December 2022, the Applicants lodged an application for review of the ACCC's decision in the Australian Competition Tribunal (**Tribunal**).

On 21 June 2023 the Tribunal affirmed the ACCC's determination dismissing the application for merger authorisation lodged by Telstra and TPG. A copy of the Tribunal's Reasons for Determination are available on the Tribunal's website [here](#).